EQUITY RESEARCH · COMPANY DEEP DIVE

AbbVie Inc. (ABBV.US)

Healthcare · Drug Manufacturers - General

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-19

BUY

Composite · Valuation: OVERWEIGHT

Target $352.83 · +24.6% upside

Price $283.21

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $352.83 (+24.6% vs $283.21); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; positive fcf generation
- Moderate revenue expansion (10.2% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT $352.83	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +27%	15%
Composite	BUY	Score +0.56 · 75% confluence	—

Valuation + technical aligned bullish.

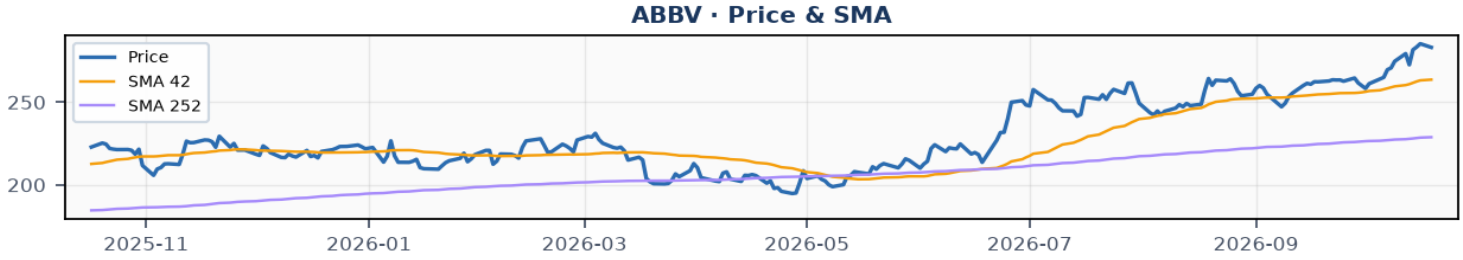
INVESTMENT THESIS / EXECUTIVE SUMMARY

AbbVie Inc. (ABBV) — Healthcare. AbbVie Inc., a research-based biopharmaceutical company, engages in the research and development, manufacturing, commercializing, and sale of medicines and... **OVERWEIGHT** rating; blended target $352.83. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$500.47B	Shares Out.	1767.1M
52-Week Range	$190.75 – $291.40	P/E (TTM)	80.0x
P/B	-84.3x	Beta	0.23
Avg Volume	4.84M	Analyst Rec.	Buy
Revenue (TTM)	$64.39B	Rev Growth	+10.2%
Op. Margin	40.0%	FCF (TTM)	$17.82B
Gross Margin	72.8%	ROE	N/A
EV/EBITDA	18.5x	Debt/Equity	N/A
EPS (TTM)	$3.54	Div Yield	2.4%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · AbbVie Inc. (ABBV) · Financials · Valuation · Peers · Q4 FY2025 · 2026-10-19

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	56,334	61,160	67,398	72,716	77,278
Revenue Growth (%)	N/A	8.6%	10.2%	7.9%	6.3%
Net Income ($M)	4,278	4,226	4,657	5,024	5,340
Gross Margin (%)	70.0%	70.2%	72.8%	72.8%	72.8%
Net Margin (%)	7.6%	6.9%	6.9%	6.9%	6.9%
EPS ($)	2.42	2.39	2.64	2.84	3.02
P/E (x)	116.99	118.43	107.46	99.61	93.73

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$263.68	Short-term trend	**12m Momentum**	+27.1%	
SMA (252d)	$228.85	Long-term trend	**3m Momentum**	+12.5%	
RSI (14d)	73.4	Momentum oscillator	**Ann. Volatility**	23.4%	
Trend	Bullish		**Sharpe Ratio**	0.94	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-21.9%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+132.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 73 — overbought zone	**Quant Score**	+0.65	POSITIVE
			SMA Backtest (ann.)	13.3%	B&H; 22.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$240.28	-15.2%	32%	Included in blend
Comps — Blended	$440.65	+55.6%	53%	Included in blend
Analyst consensus	$282.61	-0.2%	15%	Included in blend
Blended target	$352.83	+24.6%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	2.50%	5.10%	$424.61B	$240.28	-15.2%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$355.19B	114.3x	14.1x	4.8%	+5.1%
PFE	Pfizer, Inc.	$167.66B	38.7x	8.7x	6.8%	+2.6%
JNJ	Johnson & Johnson	$611.97B	38.5x	18.9x	16.2%	+5.9%
BMY	Bristol-Myers Squibb C	$120.39B	13.0x	8.2x	18.9%	+5.7%
ABBV*	AbbVie Inc.	$500.47B	80.0x	18.5x	9.8%	+10.2%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (10.2% YoY); High operating leverage (40.0% margin); Defensive profile (β=0.23) · Risks: Premium valuation (P/E: 80.0x) Strong revenue growth; high operating margins; positive fcf generation. Source: Yahoo Finance. Not investment advice.